BDRY

BREAKWAVE ADVISORS

Dry Bulk Shipping

October 29, 2024

Breakwave Dry Futures Index:	1,458	Baltic Dry Index (spot):	1,382	Short-term Indicators:	
↓ 30D: -30.3%		↓ 30D: -34.5%		Momentum:	Negative
↓ YTD: -2.3%		↓ YTD: -32.7%		Sentiment:	Negative
↑ YOY: 24.0%		↓ YOY: -9.8%		Fundamentals:	Neutral

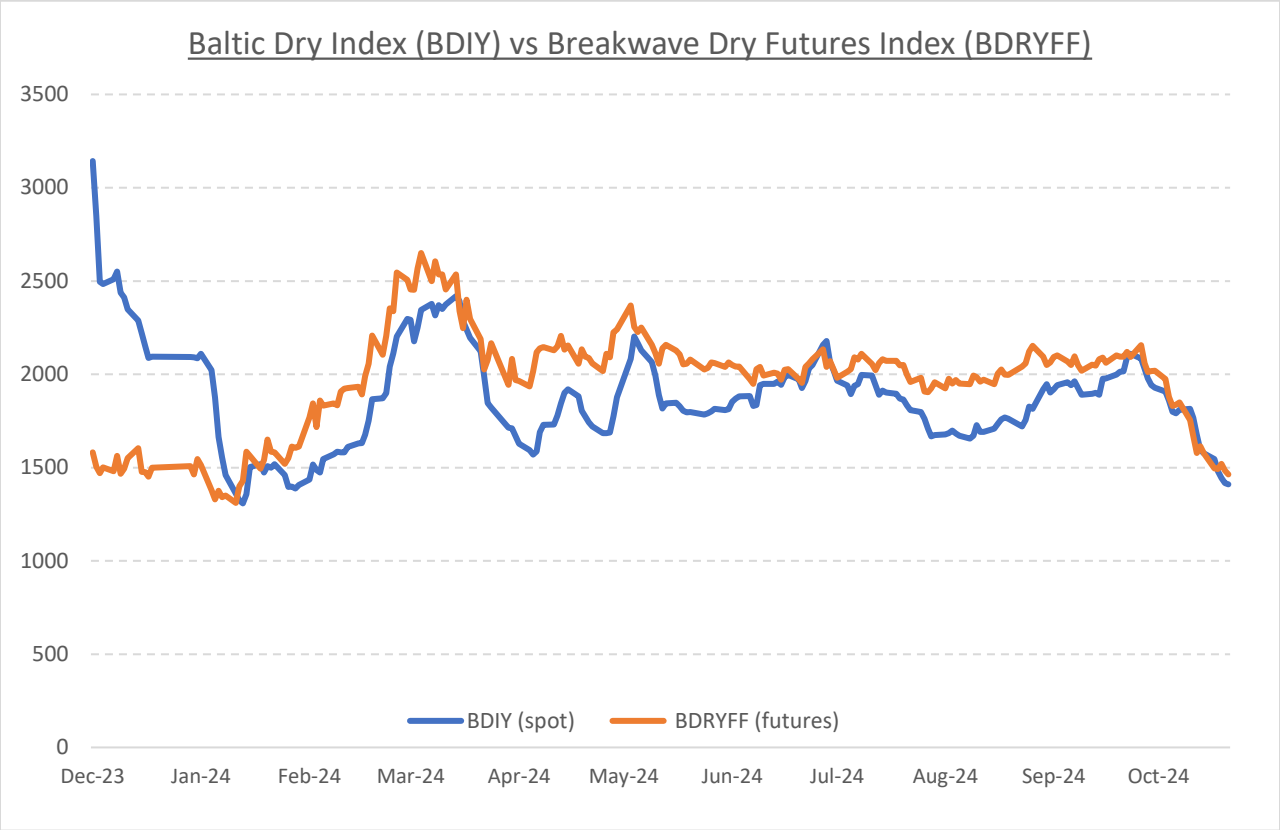
Bi-Weekly Report

- **Bottom is In; Trajectory of Recovery Depends on the Atlantic –** We believe the significant **correction** in spot Capesize rates that pushed the Index down some 50% in a month's time is **now over**. Seasonally, November represents a strong month for spot Capesize rates, and although the exact turning point is difficult to pinpoint, we believe any additional **downside is limited**, while the **potential** for a sharp **reversal** and a revisit of the 20,000 level before the end of the year is **probable**. For a long time now, we have remained skeptical of the optimism embedded into the futures curve in an environment of fundamental macro weakness in the Chinese steel market combined with the lack of associated volatility in an industry that is strongly characterized by major ups and downs. The recent **weakening** in activity represents a **cyclical decline** in cargo volume on top of what we view as an upcoming **anemic bulk import** activity into China for the **rest of the year**. Yet, our **optimism** for a brief recovery depends on two factors: **Winter weather** will cause delays and inefficiencies in the important North Atlantic market, limiting vessel availability and thus supporting rates. Secondly, historically there has been a **rush** by major miners **to ship** additional cargo **before the end of the year**, causing increased demand for vessels over a short period of time. The combination of these two factors should lead to a **revival** in spot Capesize rates in the **next two months**. However, we remain **concerned** about the **first quarter**, as the futures market is quite optimistic of a repeat of last year's strength, a scenario we find unlikely. A return to the historical pattern of a **particularly weak first quarter** is our base case, but we believe a gradual recovery beyond that is possible, with the rest of the futures curve closer to our fair value estimate.

- **The Case for a New Bull Market for China's Steel Industry Remains Elusive –** The recent **stimulus** push from China has led to some excitement in the broader commodities market, given the precedents following the GFC. However, announcements by the Chinese planners paint a **different picture** once one focuses on the details. The aim of the Chinese government is to deal with an **oversupply of housing stock** that has accumulated over a long period of time, something that will take years to achieve. Such a strategy specifically calls for a **constraint in new construction**, a clear negative for the steel industry. As a result, we have a **hard time projecting any growth** in China's steel industry, and, given the significant visible and shadow iron ore inventories, it is also hard to envision much growth in iron ore demand prior to a depletion of such high inventories. **Iron ore prices** need to drop to the **$70/ton level** and remain there for a relatively long period of time in order to balance the seaborne iron ore market and lead to more favorable conditions for iron ore trade.

- **Our Long-term View –** The last few years have been characterized by increased geopolitical uncertainty. Going forward, we expect such events to continue to affect global trade and have a meaningful impact on effective vessel supply. Combined with the potential for a multi-year cyclical rebound in China's economic activity following the recent economic turmoil, dry bulk shipping should experience higher volatility on top of a secular tightness driven by stable bulk commodity demand and a slower fleet growth owing to a relatively low orderbook.

The Baltic Dry Index (BDI) measures the average spot rates for dry bulk freight with a sector weighting of 40% Capesize, 30% Panamax and 30% Supramax. The Breakwave Dry Futures Index (BDRYFF) is designed to track freight futures contracts with a sector weighting of 50% Capesize, 40% Panamax and 10% Supramax and a weighted average maturity of approximately 50-70 days.



Dry Bulk Fundamentals

Demand	**YTD**	**YOY**
China Steel Production	768mt	-3.3%
China Steel Inventories	3.0mt	-27.5%
China Iron Ore Inventories	148mt	40.8%
China Iron Ore Imports	920mt	4.8%
China Coal Imports	389mt	11.9%
China Soybean Imports	82mt	3.8%
Brazil Iron Ore Exports	290mt	5.8%
Australia Iron Ore Exports	602mt	1.5%

Supply		
Dry Bulk Fleet	1028dwt	3.4%

Freight Rates		
Baltic Dry Index, Average	1,837	48.1%
Capesize Spot Rates, Average	23,757	70.1%
Panamax Spot rates, Average	13,615	26.8%

Note: All numbers as of latest available; Imports/Exports/Production are YTD sums as of latest reported; Inventories/Fleet are weekly totals
Sources: Bloomberg and Breakwave Advisors

Disclaimer:
This research report has been prepared by Breakwave Advisors LLC solely for general information purposes and for the recipient's internal use only. This report does not constitute and will not form part of and should not be construed as a solicitation of any offer to buy or sell any security, commodity or instrument or related derivative or to participate in any trading or investment strategy. The opinions and estimates included herein reflect views and available information as of the dates specified and may have been and may be subject to change without notice.

Contact:
Breakwave Advisors LLC
17 State Street, 40th floor
New York, NY 10004
Tel: +(1) 646 775 2898
Email: research@breakwaveadvisors.com